

Monopoly Market

Meaning, Features, Reasons &
Demand Curve

What is Monopoly Market?

- • Only one seller, no close substitutes
- • Example: Indian Railways
- • High entry and exit barriers
- • Possibility of Price Discrimination

Features of Monopoly Market

- 1. Single Seller — firm = industry
- 2. No Close Substitutes
- 3. Price Discrimination
- 4. Barriers to Entry and Exit
- 5. Price Maker

Types of Price Discrimination

- • Personal: Different prices to different buyers
- • Place: Different prices at different locations
- • Use: Different prices based on purpose of use

Reasons for Emergence of Monopoly

- 1. Government Licensing
- 2. Patent Rights
- 3. Control of Raw Materials
- 4. Cartels (e.g., OPEC)

Demand Curve Under Monopoly

- • Monopolist controls price but not demand
- • To sell more output, price must be reduced
- • Hence, the demand curve is downward sloping

Why is Monopoly Demand Curve Downward Sloping?

- • No substitutes → consumers buy less at high price
- • More sales require lowering price
- • Shows inverse relationship between price & quantity